Ch. 15 CW #2

Principles of Microeconomics

December 16, 2025

Instructions

Please answer the following on a separate sheet of paper, fully justify your answers, and turn your answers in on Gradescope by the beginning of next class.

15.2. The Competitive Firm's Supply Curve

1. Under what conditions will a firm shut down temporarily? Explain.
2. Under what conditions will a firm exit a market? Explain.

15.3. The Competitive Market's Supply Curve

3. Which of the following events will induce firms to enter an industry? Which will induce firms to exit? When will entry or exit cease? Explain your answer.
   (a) A technological advance lowers the fixed cost of production of every firm in the industry.
   (b) The wages paid to workers in the industry go up for an extended period of time.
   (c) The price of a key input rises due to a long-term shortage of that input.
4. Assume that the egg industry is perfectly competitive and is in long-run equilibrium with a perfectly elastic long-run industry supply curve. Health concerns about cholesterol then lead to a decrease in demand. Draw a series of figures like those in section 15.D. to show the short-run behavior of the market and how long-run equilibrium is reestablished.